

a net profit—of \$800,000.

I have not cited these examples of my successful real estate dealings in order to boast or gloat. I mentioned them solely to show that real estate *can* be a highly profitable form of investment.

At first glance, it might seem that I consider it easy to make money in real estate. I probably appear to be expounding a theory that one needs only to buy cheap land far outside a city's expanding limits and then wait until the city grows out to meet the property, and that the buyer will make money if he can hold onto his property long enough.

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Unfortunately, it's seldom as simple as that. The real estate investor can never be certain that cities will mushroom in any particular direction, nor even that they will grow at all. If he buys property within the city, called income property, he has no assurance that it will increase in value. It may, in fact, lose value if, for example, a neighborhood ceases to be fashionable.

Then, no matter how low the price of an undeveloped property may be, its purchase still entails a capital outlay—

and the capital sum may have to be tied up for a very long time without producing any income before property values begin to rise. Also, there are property taxes, assessments and other expenses which must be paid, and these can add up to large sums over the years.

Some time ago, a friend of mine bought 200 undeveloped acres at the northern edge of a Midwestern city, paying \$100,000 for the land. He was quite correct in his basic assumption that the city would expand and grow—but he could not foresee that when it did, public taste and preference would cause the growth to take place in the city's southern and eastern sections.

My friend still owns the property, which is worth no more today than it was when he bought it. His \$100,000